

PRIVATE EQUITY & LBO HANDBOOK

*From Investment Banker to Investor — Calibrated for EQT Deal Team Analyst
(Bengaluru)*

Prepared for Om | August 2026

This handbook is written as a training manual, not a textbook. Every concept is built from first principles, tied to a numerical example, and then tied to how a PE deal-team professional actually uses it — including how it is likely to surface in your EQT technical interview.

PART 1 — Critical Review of Your Existing Prep Material

You provided a prior conversation covering EQT interview-prep priorities, a study-flow sequence, and a compensation estimate for the Deal Team Analyst (Bengaluru) role. Treating that as the 'existing outline,' here is a candid critique before building the full handbook on top of it.

1. What that material already gets right

- Correctly identifies the mindset shift: IB tests 'can you execute the deal,' PE tests 'should we own this, at this price, with this capital structure.' This is the single most important reframe and it's front and center.
- Correctly prioritizes LBO and paper LBO above DCF and M&A modeling for this specific role — consistent with actual EQT interview reports (pen-and-paper LBO, deal-experience deep dive).
- Correctly sequences study: accounting → 3-statement → FCF → debt paydown → LBO → paper LBO → valuation → DCF → M&A model. This dependency order is sound — each layer needs the one below it.
- Ties JD language (TAM/SAM, deal assessment, portfolio monitoring, KPI tracking) directly to prep topics rather than prepping generically.

2. Where it is too shallow for the interview you'll actually face

- Investment judgment is treated as one bullet list ('good LBO candidate') rather than a repeatable framework you can apply cold to an unfamiliar company in the room. You need a tool you can run live, not a list to recite.
- No treatment of the downside case / what breaks the thesis. EQT-style interviewers probe risk more than upside — 'what would make you walk away' is explicitly flagged but never actually answered.
- No treatment of debt capacity mechanics (interest coverage, leverage covenants, cash flow available for debt service) — mentioned as a likely question but not taught.
- EQT-specific knowledge is compensation and interview-format-only. There's nothing on EQT's actual strategy segments (Private Capital vs Real Assets), how EMEA works, or 2-3 portfolio companies analyzed properly — which the material itself says you need.
- No accounting-to-cash-flow drilling with actual numbers — concepts are named (D&A, NWC, taxes) but never walked through a worked example.
- Multiple arbitrage / bolt-on economics — never covered, despite being a live EQT value-creation lever and a common follow-up to 'how do you create value in a platform.'

3. Overemphasized / lower priority than treated

- M&A / accretion-dilution mechanics — correctly flagged as lower priority given your JPM background, but still given a fairly long treatment. For a Deal-Team-Analyst (not M&A associate) interview, 15-20 minutes of review is enough; don't rebuild a merger model from scratch.
- Compensation research — useful once, but not a study topic. Time spent here should be capped at zero going forward; it doesn't build interview capability.

Gap-Analysis Table

Topic	In your material?	Importance	Current depth	What's missing	Priority
Deal-experience framework	Yes	High	Adequate	A written thesis script (30s/2min/5min) for your top 2 deals with named risks	High
Paper LBO mechanics	Yes	High	Adequate	Worked numerical drills with solutions and mental-math shortcuts	High
LBO return-driver decomposition	Named only	High	Weak	Numerical bridge: EBITDA growth vs multiple vs deleveraging contribution to MOIC	High

Debt capacity / covenants	Mentioned	High	Weak	Interest coverage, leverage caps, cash sweep mechanics with an example	High
Investment judgment framework	List only	High	Weak	Reusable framework: Market → Business → Financials → Deal → Risk	High
Downside case / thesis-breakers	Mentioned	High	Weak	Explicit method for stress-testing a thesis	High
Accounting → 3-statement linkage	Named only	Medium	Weak	Worked transaction-by-transaction walk-through	Medium
FCF conversion / EBITDA-to-cash bridge	Named only	High	Weak	Numerical bridge with 2 contrasting company examples	High
Valuation (comps, DCF)	Yes	Medium	Adequate	Multiple-driver logic (why A trades above B)	Medium
M&A / accretion-dilution	Yes	Low-Medium	Adequate	Trim further — already sufficient depth for this role	Low
TAM/SAM/SOM market sizing	Named only	High	Weak	A repeatable structuring method + worked case	High
EQT firm knowledge (strategy, AUM, segments)	No	High	Weak	Sourced facts on EQT's model, segments, EMEA footprint	High
EQT portfolio company analysis	No	High	Weak	2-3 companies analyzed with 'how I'd assess this' framework	High
Bolt-ons / multiple arbitrage	No	Medium	Weak	Mechanics + why it isn't free money	Medium
Compensation research	Yes	Low	Adequate (for what it is)	Not a prep topic — drop from further study time	Very Low

Bottom line

Your existing material is a strong interview-strategy layer (what to prepare, in what order, and why) but it is not a learning layer — it names concepts without teaching the mechanics or giving you worked numbers to internalize. The rest of this handbook fills that gap directly, in the same priority order your material already established: accounting → FCF → LBO → paper LBO → valuation → DCF → M&A → investment judgment → market sizing → EQT-specific → deal-experience scripting.

PART 2 — Accounting Foundation & the Three Statements

You already know this from IB. The bar here isn't 'can you build it' — it's 'can you explain, instantly, why a line moved and what it means economically.' That's what gets tested.

2.1 Income Statement — economic meaning, not just definitions

Line	What it really represents	Why a PE investor cares
Revenue	Value delivered to customers, recognized when earned (not when cash received)	Growth quality matters more than growth rate — is it price, volume, or mix?
COGS	Direct cost of producing what was sold	Drives gross margin — a proxy for pricing power and scale economics
Gross Profit	Revenue minus COGS	First checkpoint on unit economics before fixed costs
EBITDA	Operating profit before financing, tax, and non-cash D&A decisions	The near-universal PE proxy for cash-generating capacity — and the base for leverage multiples and entry price
D&A	Allocation of past capex over its useful life — a non-cash charge	Distorts EBITDA vs EBIT gap; capital-intensive businesses have large D&A
EBIT	Operating profit after D&A	Closer to true economic profit than EBITDA when capex is real and recurring
Interest	Cost of debt capital	In an LBO this explodes post-transaction — central to feasibility
EBT / Taxes / Net Income	Profit after financing and government claims	Net income is an accounting number — not what a sponsor can extract as cash
Minority interest	Profit attributable to non-controlling shareholders of a consolidated sub	Reduces cash actually available to the majority owner
Exceptional / non-recurring items	One-off gains/losses (restructuring, litigation, disposals)	Must be stripped out to get 'normalized EBITDA' — the number a deal is actually priced on

2.2 Balance Sheet — what each line is claiming

Line	Economic meaning	Valuation / cash-flow link
Cash	Stored liquidity	Netted against debt to get Enterprise Value
Receivables	Revenue already recognized, not yet collected	Rising A/R = revenue outrunning cash collection → drags FCF
Inventory	Cash already spent, not yet converted to revenue	Rising inventory = cash tied up before it's earned back

PP&E	Cumulative capex, net of depreciation	Growth here = capex outflow in CFI; depreciation flows back through the P&L
Goodwill	Premium paid over fair value of net identifiable assets in an acquisition	Non-cash, but signals historical overpayment risk if impaired later
Intangibles	Identifiable non-physical assets (brand, tech, contracts, customer relationships)	Amortized like PP&E; often revalued in purchase accounting
Payables	Cash owed to suppliers, not yet paid	Rising A/P = free financing from suppliers → boosts FCF
Accrued expenses	Costs incurred, cash not yet paid	Same direction as payables — a working-capital source of cash
Debt	Contractual claims senior to equity	In an LBO, this is the whole point — it's how the deal is financed and the risk that must be managed
Lease liabilities	PV of future lease payments (post-IFRS16/ASC842)	Effectively debt-like — factor into leverage ratios
Deferred tax	Timing differences between book and tax accounting	Can mask real cash tax rate — check cash taxes paid, not just the P&L tax line
Shareholders' equity	Residual claim after all liabilities	In an LBO this shrinks to a sliver at entry — that's what creates leverage on returns

2.3 Cash Flow Statement

- CFO (Cash from Operations) = Net income + D&A (add back non-cash) +/- changes in working capital
- CFI (Cash from Investing) = mainly Capex, and cash paid/received for acquisitions & disposals
- CFF (Cash from Financing) = debt issuance/repayment, equity issuance, dividends, share buybacks

Accrual accounting recognizes revenue/expense when earned/incurred; cash accounting recognizes when cash moves. The gap between them is working capital and the accrual adjustments in CFO. Deferred revenue, prepaid expenses, accrued expenses and deferred taxes are all just timing differences between the P&L and cash — they reverse eventually, but they matter enormously for near-term FCF.

2.4 How the Three Statements Link — Ten Worked Examples

This is the single most useful drilling exercise for a technical interview. For each event, trace Income Statement → Balance Sheet → Cash Flow Statement.

1. Company buys \$100 of equipment with cash

- IS: No immediate impact (capex is not an expense)
- BS: Cash -\$100, PP&E +\$100 → total assets unchanged
- CF: CFI -\$100 (capex outflow)

2. Company raises \$200 of debt

- IS: No immediate impact (future periods will show interest expense)
- BS: Cash +\$200, Debt +\$200
- CF: CFF +\$200 (debt issuance)

3. Company repays \$50 of debt principal

- IS: No impact on principal repayment itself (interest already expensed separately)
- BS: Cash -\$50, Debt -\$50
- CF: CFF -\$50

4. Company acquires another company for \$300 cash (purchase accounting)

- IS: No immediate gain/loss; going forward, incremental D&A from revalued assets and possibly incremental interest if debt-funded
- BS: Cash -\$300; target's assets/liabilities consolidated at fair value; Goodwill = Purchase price – Fair value of net identifiable assets
- CF: CFI -\$300 (cash paid for acquisition, net of any cash acquired)

5. Company records \$20 of depreciation

- IS: D&A expense -\$20 → EBIT -\$20 → Net income falls (by $\$20 \times (1 - \text{tax rate})$ after tax shield)
- BS: PP&E -\$20 (accumulated depreciation), Retained earnings falls by the after-tax net income impact
- CF: CFO — Net income already down, so D&A is added back +\$20 → net CFO impact is only the tax shield (positive), not negative. This is the classic 'depreciation is not a cash cost' point.

6. Company increases inventory by \$30 (paid in cash)

- IS: No P&L impact until sold
- BS: Cash -\$30, Inventory +\$30
- CF: CFO -\$30 (use of cash — working capital build)

7. Company collects \$40 of receivables

- IS: No impact — revenue was already recognized earlier
- BS: Cash +\$40, A/R -\$40
- CF: CFO +\$40 (working capital release)

8. Company pays \$25 to suppliers (reducing A/P)

- IS: No impact — expense was already recognized when incurred
- BS: Cash -\$25, A/P -\$25
- CF: CFO -\$25

9. Company pays \$10 of interest

- IS: Already reflected as interest expense (this is the cash settlement)
- BS: Cash -\$10
- CF: CFO -\$10 (most frameworks classify interest paid within operating activities)

10. Company pays a \$15 dividend

- IS: No impact — dividends are a distribution of profit, not an expense
- BS: Cash -\$15, Retained earnings -\$15
- CF: CFF -\$15

The interview-ready version of this skill: whenever you're given a transaction, ask three questions in order — (1) does it hit the P&L at all, (2) which balance sheet accounts move, (3) which cash flow bucket absorbs the cash movement. Getting this automatic is worth more than memorizing any formula.

PART 3 — Why EBITDA Is Not Cash Flow

EBITDA is a proxy for cash-generating capacity before financing and investment decisions. It is not cash flow, because it ignores three real cash outflows: taxes, capex, and working-capital investment.

The bridge

Revenue

- COGS - OpEx = EBITDA
- D&A = EBIT
- Taxes on EBIT = NOPAT (unlevered)
- + D&A (add back)
- Capex
- Increase in NWC = Unlevered Free Cash Flow (FCFF)
- Interest (after tax)
- Mandatory debt repayment = Levered Free Cash Flow (FCFE) – what's left for equity

Cash conversion = FCF / EBITDA. A business converting 80%+ of EBITDA to FCF is a fundamentally different — and more financeable — asset than one converting 30%, even at identical EBITDA.

Worked example: two businesses, same EBITDA, very different FCF

	Company A (SaaS, asset-light)	Company B (Industrials, capex-heavy)
EBITDA	€100m	€100m
Capex	€8m (8%)	€35m (35%)
Δ Working capital	€2m (minimal, subscriptions prepaid)	€15m (inventory + receivables build with growth)
Cash taxes	€15m	€12m (capex creates depreciation tax shield)
Unlevered FCF	≈€75m	≈€38m
FCF conversion	75%	38%

Why it matters to a leveraged investor: debt is serviced with cash, not EBITDA. Company A can support far more leverage at the same EBITDA multiple because more of every EBITDA euro reaches the debt-service line. This is exactly why 'good LBO candidate' and 'high FCF conversion' are almost synonymous in practice — and why a high-growth business with poor cash conversion (growth consuming working capital and capex) can be a worse LBO candidate than a lower-growth, high-conversion business, even though it looks better on a growth screen.

PART 4 — Valuation

4.1 Trading Comparables

Enterprise Value = Equity Value + Net Debt + Minority Interest + Preferred – Associates (approx). EV is capital-structure-neutral, which is why EV/EBITDA (not P/E) is the default PE multiple — it lets you compare businesses regardless of how they're financed.

Multiple	Best used when	Weakness
EV/Revenue	Company is pre-profit or margins are not comparable across peers	Ignores cost structure entirely — can flatter low-margin, high-revenue businesses
EV/EBITDA	Standard PE multiple — capital-structure and D&A-policy neutral	Ignores capex intensity — can overvalue capex-heavy businesses vs peers
EV/EBIT	Useful when D&A/capex differs materially across capital-intensity of peers	Less standardized; sensitive to accounting D&A policy differences
P/E	Equity-level, useful for minority/public-market comparisons	Distorted by capital structure — a highly levered company will show a different P/E than an unlevered peer with identical operating performance
FCF yield (FCF/EV)	Direct read on cash-generating efficiency of the price paid	Volatile year to year if capex or working capital swings

Why two similar-looking companies trade at different multiples

- Growth: higher, more durable growth commands a premium (you're buying more future EBITDA per euro of EBITDA today)
- Margins & trajectory: expanding margins signal operating leverage or pricing power still to be captured
- Recurring revenue: contracted/subscription revenue is worth more per euro than one-off/transactional revenue — lower forecast risk
- ROIC / capital efficiency: a business that reinvests at high returns compounds value faster per euro retained
- Market position / moat: leaders in fragmented or regulated markets carry lower risk premiums
- Cash conversion & capital intensity: as shown above, two businesses at the same EBITDA are not the same asset
- Risk & cyclicity: more volatile end-markets are discounted, all else equal

4.2 Transaction (Precedent) Comparables

- Transaction multiples typically run above trading multiples because they embed a control premium (full control of the business, not a minority stake) and often assume synergies (especially for strategic buyers)
- Strategic buyers can pay more than financial buyers because they can underwrite synergies into the price; financial buyers pay for the standalone cash flow profile plus what they can create operationally
- Precedents can mislead when: the deal is old (market conditions have shifted), deal size/rationale differs (a small bolt-on multiple isn't comparable to a platform acquisition), or the disclosed multiple is based on unclear/adjusted EBITDA

4.3 DCF — Built From Scratch

Forecast Revenue → EBITDA → EBIT → Taxes → NOPAT → + D&A – Capex – Δ NWC = Unlevered FCF
Enterprise Value = $\sum$ PV(FCF, years 1-5) + PV(Terminal Value)
Equity Value = Enterprise Value – Net Debt

WACC — the discount rate

$WACC = (E/V) \times \text{Cost of Equity} + (D/V) \times \text{Cost of Debt} \times (1 - \text{tax rate})$

- Cost of Equity (CAPM) = Risk-free rate + Beta × Equity Risk Premium
- Cost of Debt = pre-tax borrowing cost; apply $(1 - \text{tax rate})$ because interest is tax-deductible — the 'tax shield'
- Capital structure weights (E/V, D/V) should reflect target/market values, not book values

Terminal value — two methods

- Perpetuity growth: $TV = FCF(\text{final year}) \times (1+g) / (WACC - g)$. Highly sensitive to the WACC–g spread — small changes swing value enormously
- Exit multiple: $TV = \text{Terminal-year EBITDA} \times \text{assumed exit multiple}$. More intuitive and easier to sanity-check against comps, which is why practitioners often prefer it and use perpetuity growth as a cross-check

What actually drives a DCF answer

- Terminal value is typically 60-80% of total EV in a DCF — meaning most of the 'answer' comes from the assumption you're least certain about. Always sensitize WACC and terminal growth/multiple together, and cross-check TV implied multiple against real trading comps
- Common DCF mistakes: using book-value capital weights, forgetting the tax shield on cost of debt, an unrealistically high terminal growth rate (above long-run GDP growth is a red flag), inconsistent treatment of working capital in the terminal year, mismatching FCFF/WACC with FCFE/cost-of-equity
- DCF is most useful for mature, stable-cash-flow businesses with a defensible long-run trajectory. It is least useful for early-stage/high-growth companies (forecast errors compound) and for cyclical businesses at a peak or trough of the cycle (single-year starting point distorts everything)
- In PE practice, DCF is usually a cross-check against comps and the LBO-implied entry price — not the primary valuation tool. The LBO model itself is effectively 'what can I pay and still hit my return hurdle,' which is a different and, for a sponsor, more decision-relevant question than 'what is intrinsic value.'

PART 5 — M&A Modeling (Condensed)

Kept concise given your JPM M&A background — refresh, don't relearn.

5.1 Mechanics

Purchase Price → Sources & Uses (Cash, Debt, Stock) → Goodwill = Price - FV of net identifiable assets

Pro forma EBIT = Acquirer EBIT + Target EBIT + Synergies - Incremental D&A (from asset step-up)

Pro forma Net Income → Pro forma EPS vs Acquirer standalone EPS → Accretion / Dilution

- A deal is accretive when the target's earnings yield (inverse of the multiple paid) exceeds the acquirer's after-tax cost of financing the deal — cash-funded deals are accretive more easily than stock-funded deals at market P/E
- Stock consideration dilutes existing shareholders by issuing new shares — accretion/dilution depends on the acquirer's own P/E versus the deal's implied cost
- Synergies (cost, mostly) increase pro forma EBIT and are the main lever that turns a dilutive deal accretive

5.2 How an M&A model differs from an LBO model — the economic purpose

	M&A / Merger Model	LBO Model
Core question	Does this deal help the acquirer's earnings/strategy?	Can a sponsor buy this, finance it with debt, and sell it later for an attractive equity return?
Buyer	Strategic (usually), ongoing operating company	Financial sponsor, no ongoing operations of its own
Financing mix	Cash / stock / debt — often a minority of the deal is debt	Predominantly debt (typically 50-65%+ of purchase price)
Success metric	EPS accretion/dilution, strategic fit, synergies	MOIC and IRR to the sponsor's equity at exit
Time horizon	Often indefinite (permanent ownership)	Finite hold (typically 3-7 years) with an explicit exit
Balance sheet impact	Goodwill, purchase accounting, integration of two operating entities	New capital structure layered onto one existing business — no operational combination

PART 6 — The LBO Model (The Most Important Section)

6.1 Structure — Sources & Uses

USES: Purchase of Equity + Refinance existing debt + Transaction fees = Total Uses

SOURCES: Senior Debt + Subordinated/Mezz Debt + Sponsor Equity = Total Sources (must equal Total Uses)

- Entry EV = Entry EBITDA × Entry Multiple. Equity Purchase Price = Entry EV – existing net debt (paid off at close, usually)
- Sponsor equity is the plug — whatever the debt markets won't finance, the sponsor must fund with equity. More debt at entry = less equity needed = higher returns if things go to plan, and more risk if they don't

6.2 The Debt Stack

Instrument	Typical cost	Seniority / features	Economic role
Revolver	Cheapest, floating	Senior secured, undrawn until needed	Working-capital liquidity backstop — not usually drawn at close
Term Loan (senior)	Lower cost, floating (SOFR/EURIBOR + margin)	Senior secured, amortizes, tightest covenants	Bulk of leverage; cheapest debt because it's first to be repaid in a downside
Mezzanine / Subordinated	Higher cost, often part cash + part PIK	Unsecured or second-lien, bullet or light amortization	Bridges the gap between senior debt capacity and what sponsor equity wants to fund; more expensive because it absorbs more risk
Unitranche	Blended single tranche	Combines senior + sub economics into one instrument, one lender	Simplifies structure — common in mid-market deals with fewer, larger private-credit lenders
PIK debt	Highest cost	Interest accrues to principal, no cash paid until maturity/exit	Preserves cash for growth/opex, but principal balloons at exit — most equity-like debt

- Cash sweep: any excess FCF after mandatory amortization is used to pay down debt early — this is the mechanism that compounds deleveraging returns over the hold
- Debt capacity is bounded by Debt/EBITDA leverage covenants and by interest coverage (EBITDA/Interest, or (EBITDA-Capex)/Interest for a tighter test) — lenders want a cushion so a downturn doesn't trigger default

6.3 The Operating Model Flow

Revenue → EBITDA → (– D&A) EBIT → (– Interest) EBT → (– Tax) Net Income

FCF available for debt paydown ≈ Net Income + D&A – Capex – ΔNWC – Mandatory Amort

FCF → applied to Cash Sweep → reduces Debt balance → reduces next year's Interest → increases next year's FCF (a compounding loop)

PART 7 — Why Debt Paydown Creates Equity Value

This is the core mechanical insight of the entire asset class. Work through it with real numbers.

	Entry	Exit (Year 5)
Enterprise Value	\$1,000	\$1,200

Debt	\$500	\$200
Equity Value	\$500	\$1,000

The sponsor put in \$500 of equity and got back \$1,000 — a \$500 equity value gain. Decompose exactly where that \$500 came from:

- EV grew by \$200 (\$1,000 → \$1,200). If the entry and exit multiples were identical, this \$200 is pure EBITDA growth — the business got bigger.
- Debt fell by \$300 (\$500 → \$200). Every dollar of debt repaid using the company's own cash flow converts directly, dollar-for-dollar, into equity value — because equity value = EV – debt, and reducing the subtracted term increases the residual claim.
- Total: \$200 (EBITDA/EV growth) + \$300 (deleveraging) = \$500 equity value created. If entry and exit multiples differ, a third bucket — multiple expansion/contraction — enters the decomposition (see 7.1 below).

MOIC and IRR

MOIC = Exit Equity / Entry Equity = \$1,000 / \$500 = 2.0x

IRR $\approx$ MOIC^(1/years) – 1 → 2.0x over 5 years $\approx$ 14.9% IRR

- MOIC tells you the multiple of money made; IRR tells you the annualized rate — the same MOIC over a shorter hold gives a much higher IRR. A 2.0x in 3 years (~26% IRR) is a very different outcome from 2.0x in 7 years (~10.4% IRR), even though the dollar profit multiple is identical.

7.1 Full three-driver decomposition (with a multiple change)

Extend the example: assume the same deal, but the entry multiple was 10.0x (\$1,000 EV / \$100 entry EBITDA) and the exit multiple is 10.5x on \$114.3m of exit EBITDA (EV = \$1,200).

Driver	Contribution logic	Approx. \$ impact
EBITDA growth	$\Delta \text{ EBITDA} \times \text{entry multiple} = (\$114.3\text{m} - \$100\text{m}) \times 10.0\text{x}$	$\approx \$143$
Multiple expansion	$\text{Exit EBITDA} \times \Delta \text{ multiple} = \$114.3\text{m} \times (10.5\text{x} - 10.0\text{x})$	$\approx \$57$
Deleveraging	Reduction in net debt funded by the business's own cash flow	\$300
Total equity value created		$\approx \$500$

- In practice, sponsors underwrite deals assuming little to no multiple expansion (it's the driver you don't control) and want the thesis to work primarily on EBITDA growth + deleveraging — multiple expansion, if it happens, is upside, not the plan.

What happens when the exit multiple is lower than entry?

If a deal is bought at 11x and sold at 9x, multiple contraction is a direct drag on equity value (Exit EBITDA $\times$ –2x turns are subtracted). A well-underwritten deal should still be able to generate an acceptable return through EBITDA growth and debt paydown alone — this is exactly why sponsors stress-test returns assuming exit multiple $\leq$ entry multiple ('no multiple expansion' or even 1-2 turns of contraction) as the base/downside case, not the upside case. Deals that only work if the multiple expands are considered weak underwriting.

PART 8 — Paper LBO Drills

Solve each before reading the solution. Use round numbers and mental-math shortcuts — the interview version of this has no calculator.

Beginner

B1.

Entry EBITDA \$50m, entry multiple 8.0x, financed 60% debt / 40% equity. No growth, no debt paydown assumed for simplicity. Exit at the same 8.0x multiple in Year 5. What's the MOIC?

Solution: Entry EV = \$400m. Debt = \$240m, Equity = \$160m. With no EBITDA growth, no paydown, and no multiple change, Exit Equity = Entry Equity = \$160m → MOIC = 1.0x. Shortcut: if nothing changes, nothing is created — this drill exists to make you notice that leverage alone creates nothing without growth or paydown.

B2.

Entry EBITDA \$50m, entry multiple 8x, 60% debt. EBITDA grows to \$65m by exit (Year 5), exit multiple unchanged at 8x, and \$50m of debt is paid down over the hold. Find MOIC.

Solution: Entry EV=\$400m, Debt=\$240m, Equity=\$160m. Exit EV = \$65m × 8x = \$520m. Exit Debt = \$240m – \$50m = \$190m. Exit Equity = \$520m – \$190m = \$330m. MOIC = 330/160 ≈ 2.06x.

B3.

Same as B2 but exit multiple falls to 7x. Find MOIC.

Solution: Exit EV = \$65m × 7x = \$455m. Exit Equity = \$455m – \$190m = \$265m. MOIC = 265/160 ≈ 1.66x. Shortcut: each turn of multiple compression costs you (Exit EBITDA × 1x) of equity value directly — here, \$65m.

B4.

Entry EBITDA \$100m, 9x entry, 65% debt. No EBITDA growth. Exit in 4 years at 9x. \$120m of debt repaid from FCF. MOIC?

Solution: Entry EV=\$900m, Debt=\$585m, Equity=\$315m. Exit EV=\$900m (flat EBITDA/multiple). Exit Debt=\$585–120=\$465m. Exit Equity=\$900–465=\$435m. MOIC=435/315≈1.38x. This isolates the deleveraging-only return.

B5.

If MOIC = 2.5x over a 5-year hold, approximate the IRR.

Solution: $IRR \approx MOIC^{(1/5)} - 1 = 2.5^{0.2} - 1 \approx 20.1\%$. Shortcut table to memorize: 2.0x/5yr≈15%, 2.5x/5yr≈20%, 3.0x/5yr≈25%, 2.0x/3yr≈26%, 3.0x/3yr≈44%.

Intermediate

I1.

Entry EBITDA \$80m, entry multiple 10x, Debt/EBITDA = 5.5x. EBITDA grows 8%/year for 5 years. FCF used for paydown = 40% of EBITDA each year (assume this fully applies to debt, ignore interest circularity for this drill). Exit multiple = 10x. Estimate MOIC.

Solution: Entry EV=\$800m, Debt=\$440m, Equity=\$360m. Exit EBITDA = $80 \times 1.08^5 \approx \$117.5m$. Exit EV=\$1,175m. Cumulative paydown ≈ 40% × sum of EBITDA over 5 yrs (~80,86,93,101,108 ≈ \$468m total EBITDA) ≈ $0.4 \times 468 \approx \$187m$, capped at debt outstanding → Exit Debt ≈ \$440–187=\$253m. Exit Equity ≈ 1,175–253=\$922m. MOIC≈922/360≈2.56x.

I2.

A deal is levered at 6.0x Debt/EBITDA at entry on \$60m EBITDA. Interest rate is 8%. What is the interest coverage ratio, and is that likely to be acceptable to lenders (typical covenant floor ~2.0-2.5x)?

Solution: Debt = \$360m, Interest $\approx 8\% \times \$360\text{m} = \28.8m . Coverage = EBITDA/Interest = $60/28.8 \approx 2.08\text{x}$. This is right at the edge of typical covenant comfort — a business with any earnings volatility would be flagged as over-levered at this rate; lenders would likely push leverage down or demand a lower rate / more equity cushion.

I3.

Entry \$70m EBITDA at 9x, 60% debt. Over the hold, EBITDA grows to \$90m, multiple stays 9x, but the company also draws an additional \$20m on its revolver for a bolt-on (increasing debt rather than reducing it), while \$60m of the original term loan is repaid. Net debt change?

Solution: Entry Debt = $0.6 \times 630 = \$378\text{m}$. Net paydown = \$60m repaid – \$20m drawn = \$40m net reduction. Exit Debt = $\$378 - 40 = \338m . Exit EV = $90 \times 9 = \$810\text{m}$. Exit Equity = $810 - 338 = \$472\text{m}$. Entry Equity = $630 - 378 = \$252\text{m}$. MOIC $\approx 1.87\text{x}$. Point of the drill: bolt-on draws reduce the net deleveraging benefit unless the bolt-on itself adds enough EBITDA to more than offset the extra debt — always check both sides.

Advanced

A1.

Sponsor requires a 20% IRR minimum over a 5-year hold, and underwrites 2.2x MOIC as the base case. At entry EBITDA of \$100m growing to \$150m at exit with a flat 9x multiple and 65% initial leverage (\$585m debt on \$900m EV, so \$315m equity), what net debt paydown is required to hit exactly 2.2x?

Solution: Target Exit Equity = $2.2 \times 315 = \$693\text{m}$. Exit EV = $150 \times 9 = \$1,350\text{m}$. Required Exit Debt = $1,350 - 693 = \$657\text{m}$. But Entry Debt was only \$585m — Exit Debt required is HIGHER than entry debt, meaning the deal hits its 2.2x target through EBITDA growth alone even with debt increasing (e.g., for a bolt-on) — no net paydown is required. This drill trains you to check whether growth alone already clears the hurdle before assuming paydown must do the work.

A2.

A platform is bought at 12x EBITDA. During the hold, it acquires a bolt-on at 7x EBITDA, funded with additional debt at the platform's blended leverage. Explain, without doing formal math, why this can create value even before any operational synergies — and name the risk that offsets it.

Solution: 'Multiple arbitrage' — the bolt-on's EBITDA, once folded into the platform, is valued by the market/at exit at the platform's (higher) multiple rather than the price paid for it. Buying \$1 of EBITDA at 7x and having it re-rate to 12x at exit creates roughly $(12-7) \times$ that increment of EBITDA in equity value, before any cost or revenue synergies. The offsetting risk: this is not free money — it assumes the platform successfully integrates the bolt-on without diluting its own growth/quality profile (and therefore its multiple), that management bandwidth isn't overstretched, and that the financing for the bolt-on doesn't push leverage into a range that increases refinancing/covenant risk. If the bolt-on underperforms or integration fails, the platform's own multiple can compress instead of the bolt-on re-rating up.

PART 9 — PE Investment Judgment: The Framework

The single skill that separates 'knows finance' from 'thinks like an investor' is running all five lenses below on every company, in order, rather than defaulting to growth alone.

Business Quality → Market → Financial Quality → Management → Deal Characteristics

Lens	Key questions	Why it matters to a leveraged buyer
Business Quality	Market position? Moat? Pricing power? Switching costs? Recurring revenue? Customer concentration?	Determines forecast confidence — you can lever a predictable cash flow far more safely than a fragile one
Market	Growth, TAM/SAM, structure, competitive intensity, regulation, cyclical, consolidation potential	Determines how much of the growth thesis is market tailwind vs. company-specific execution risk
Financial Quality	Revenue growth, margins & trajectory, FCF conversion, ROIC, working capital, capex intensity, customer concentration	This is where the FCF-bridge and ROIC work from Parts 3 and 11 gets applied — determines debt capacity and true value creation
Management	Track record, incentives, execution history, capital allocation discipline, governance	Sponsors back management as much as businesses — poor capital allocation destroys otherwise-good fundamentals
Deal Characteristics	Entry valuation vs quality, debt capacity, downside protection, exit routes/buyer universe, specific value-creation levers	Ties everything together into 'can we make an attractive, risk-adjusted return at this price'

What makes a good PE target

- Predictable, ideally recurring/contracted cash flow — supports leverage safely
- Defensible market position with real pricing power — protects margins through the hold
- High FCF conversion — more of every EBITDA euro is available to service debt and fund growth
- Multiple credible, controllable value-creation levers (not just 'ride the market') — pricing, cost, bolt-ons, geographic expansion, margin improvement
- A realistic, liquid exit universe — strategics, other sponsors, or IPO, not a single hoped-for buyer
- An entry price that leaves room for the return math to work even if the multiple doesn't expand

What makes a company a bad PE target — even if it's growing fast

- Growth funded by heavy, continuous capex or working-capital investment — FCF conversion is poor, so the growth doesn't translate into debt-service capacity or distributable cash
- Growth is market-wide (a rising tide), not share-gain — hard to underwrite as durable, and every competitor is chasing the same TAM
- High customer concentration or short contract cycles — a single lost account can break the thesis
- Negative or low ROIC on incremental growth capital — the company is growing revenue while destroying value on each new dollar invested (see Part 11)
- No natural leverage capacity — cyclical or capex-heavy cash flows mean even modest debt creates real default risk
- Founder/key-person dependency with no depth of management bench — execution risk concentrated in one person

The discipline this framework enforces: never evaluate a business on growth alone. Balance Business Quality + Valuation + Leverage capacity + Cash Flow + Value Creation levers + Exit routes. A 30%-growth company at 20x with poor cash conversion and a single realistic buyer can be a worse investment than a 8%-growth company at 9x with 85% FCF conversion and five plausible strategic acquirers.

PART 10 — When Debt Matters vs. When It Doesn't

Two very different investment theses

	Leverage is NOT central to the thesis	Leverage IS a major part of the thesis
Cash flow profile	Stable, predictable, recurring	Volatile, cyclical, or transactional
Asset intensity	Often asset-light	Often asset-heavy or working-capital-intensive
Value creation driver	Operational improvement, growth, bolt-ons — debt is just efficient financing	A meaningful share of projected returns literally comes from deleveraging math
Debt level chosen	Modest, well below max capacity — preserves flexibility	Pushed toward the top of what interest coverage/covenants allow
Example type	Software, branded consumer, healthcare services with contracted payors	Real estate-adjacent, stable infrastructure-like cash flows, mature low-growth cash cows

- Debt enhances equity returns by letting the sponsor control a larger asset with less capital (financial leverage) — but it is a double-edged lever: the same multiplier that amplifies gains amplifies losses in a downside case
- Debt increases financial risk and reduces downside protection — a business that misses its plan can breach covenants or fail to refinance, forcing value-destroying restructuring or an equity injection at the sponsor's expense
- Debt can constrain strategic flexibility — cash that would otherwise fund a bolt-on or a downturn-defense investment is committed to debt service instead
- Refinancing risk: debt taken on at low base rates can reprice sharply higher at refinancing, especially for floating-rate tranches — a business underwritten on today's rates can face materially worse economics 3-5 years out
- The interview-ready one-liner: 'I choose leverage based on the predictability of cash flow, not the return I want — the return should follow from what the business can safely support, not the other way around.'

PART 11 — ROIC, ROCE & Capital Efficiency

ROIC = NOPAT / Invested Capital
= (ROIC - WACC) × Invested Capital

ROCE = EBIT / Capital Employed

Economic Profit

Why ROIC > WACC matters

A company only creates value on capital it invests if the return on that capital exceeds its cost. If ROIC < WACC, every additional dollar reinvested destroys value even while revenue and EBITDA grow — this is the single most common trap in evaluating 'growth' companies.

Worked example

	Company A	Company B
Revenue growth	20%/yr	8%/yr
Incremental capital invested/yr	\$50m	\$15m
Incremental NOPAT generated/yr	\$4m	\$3m
ROIC on incremental capital	8%	20%
WACC	10%	10%
Value created or destroyed?	Destroyed — growing below its cost of capital	Created — growing above its cost of capital

Company A looks more exciting on a growth screen but is destroying value with every dollar reinvested; Company B is compounding value even at a much lower growth rate. A PE investor levers this insight through: pricing (margin without more capital), operational efficiency (same output, less capital employed), working-capital discipline (releasing tied-up cash), better capex targeting (reinvest only where ROIC clears the hurdle), and — cautiously — leverage (financial leverage amplifies the equity-level return on a business whose underlying ROIC already exceeds its cost of capital; it does not fix a business whose ROIC is the problem).

PART 12 — Market Sizing & Industry Analysis

TAM / SAM / SOM

- TAM (Total Addressable Market): the full theoretical revenue opportunity if the company captured 100% of the relevant global demand
- SAM (Serviceable Available Market): the portion TAM the company's actual product, geography, and business model can realistically address
- SOM (Serviceable Obtainable Market): the realistic share the company can capture given competition, execution capability, and time horizon

A repeatable structuring method

1. Clarify the market definition — product scope, geography, customer segment, time horizon
2. Choose top-down (start from a known total market figure and narrow it with logical filters) or bottom-up (build from unit economics: # of customers × price/volume per customer) — bottom-up is more defensible and is what interviewers usually want to see
3. State explicit, sanity-checkable assumptions out loud — every number should trace to something a reasonable person could verify or challenge
4. Sanity-check the answer against any known reference point (population, GDP, an adjacent market you do know)
5. Conclude with SOM and a view on realistic penetration given competitive intensity and time

Worked mini-case: 'Estimate the market size of the European payments-processing market'

- Bottom-up build: Estimate total EU consumer + business card/digital payment volume (e.g., ~€X trillion in annual transaction value, built from population × avg. annual spend × % paid electronically) → apply typical payment-processing take rate (a small % of transaction value, e.g., 1.5-2.5%) → that gives TAM in processor revenue terms
- SAM: narrow to the specific sub-segment a company plays in (e.g., SME merchant acquiring vs. enterprise vs. cross-border) and the countries it's licensed/present in
- SOM: apply a realistic multi-year share-capture assumption given competitive intensity (this market is highly fragmented with strong incumbents — expect low-single-digit share gains per year, not double digits)

Industry attractiveness — Porter's-style checklist adapted for PE

Factor	What to assess
Growth	Structural (secular) vs. cyclical growth — is the tailwind durable through a 5-year hold?
Competitive intensity	Fragmented vs. consolidated; rational vs. irrational pricing behavior among players
Supplier power	Can input costs be passed through? Are there few, powerful suppliers?
Customer power	Concentrated, price-sensitive buyers vs. fragmented, sticky customers
Barriers to entry	Regulation, capital intensity, network effects, brand, switching costs
Substitutes	Risk of a different technology/business model displacing the category
Regulation	Tailwind (protects incumbents) or headwind (compresses margins, adds compliance cost)
Consolidation potential	Fragmented markets with clear synergies = fertile ground for a buy-and-build platform strategy

PART 13 — Portfolio Mapping & Bolt-On Economics

13.1 How a PE firm thinks about its portfolio

- Sector and geography mapping — where does the fund have existing exposure, expertise, and deal-sourcing networks?
- Company maturity/size spread across the portfolio — balances risk and matches different funds' mandates (growth vs. buyout vs. infrastructure-like)
- Concentration risk — sector, geography, single-position size, and vintage-year concentration all need monitoring
- White space — sectors/geographies adjacent to existing expertise but not yet owned, often the most efficient way to originate the next platform
- Add-on pipeline per platform — is there a visible, financeable bolt-on pipeline that extends the value-creation runway on an existing investment?

13.2 Platform vs. add-on (bolt-on)

- Platform: the initial, larger acquisition that establishes a market position and management team the sponsor will build around
- Bolt-on / add-on: smaller subsequent acquisitions folded into the platform to add scale, capability, geography, or product

13.3 Why sponsors do bolt-ons

Rationale	Mechanism
Multiple arbitrage	Buy EBITDA at a lower multiple than the platform trades/exits at (see Part 7.1 A2 worked example)
Revenue synergies	Cross-sell platform products through the add-on's customer base, or vice versa
Cost synergies	Shared back-office, procurement scale, facility consolidation
Geographic expansion	Enter new markets faster than organic build-out would allow
Capability/product extension	Buy technology or capability rather than build it, saving time-to-market

13.4 Why multiple arbitrage is not free money

- Integration risk: combining systems, teams, and cultures can destroy more value than the multiple gap creates if execution falters
- Management bandwidth: the platform's management team is now running two businesses — this can distract from organic growth that was the original investment thesis
- Overpaying: competitive bolt-on processes can bid multiples up toward (or past) the platform's own multiple, eliminating the arbitrage
- Financing requirements: each bolt-on typically draws incremental debt, pushing platform leverage higher and increasing refinancing/covenant risk across the whole structure
- Cultural issues: smaller founder-led businesses can lose the entrepreneurial character that made them attractive once absorbed into a larger platform
- The discipline question to always ask: is this bolt-on adding real strategic value (synergy, capability, moat), or is it just adding EBITDA to game the arithmetic? The former is durable value creation; the latter is financial engineering that unwinds the moment integration falters or the platform's own multiple compresses.

PART 14 — EQT: Firm-Level Knowledge

Sourced from EQT's own investor materials, press releases, and job postings as of August 2026. Every claim below is labeled. Facts that could change are dated to their source.

14.1 History & structure

- [VERIFIED FACT] EQT was founded with a Nordic heritage rooted in the Wallenberg family's long-term, entrepreneurial ownership philosophy, and describes itself as a purpose-driven global investment organization with more than three decades of track record across geographies, sectors, and strategies.
- [VERIFIED FACT] In October 2022, EQT combined with Baring Private Equity Asia (BPEA), then the third-largest private markets firm in Asia — the combined entity trades as EQT, with BPEA's Private Equity business becoming EQT Private Capital Asia and BPEA's Real Estate business folded into EQT Exeter (Source: EQT/PRNewswire, Oct 2022).
- [VERIFIED FACT] EQT describes itself as the third-largest private markets firm globally, ranking top-3 in private equity, top-5 in infrastructure, and top-10 in real estate.

14.2 Scale (AUM)

- [VERIFIED FACT] As of 31 December 2025: €270 billion total AUM, of which €141 billion is fee-generating AUM (FAUM), across two business segments — Private Capital and Real Assets (Source: EQT AB Year-end Report 2025, eqtgroup.com, 23 Mar 2026).
- [VERIFIED FACT] By mid-2026: FAUM had grown to ~€155bn and total AUM to ~€291bn (Source: EQT AB Half-year Report 2026, 17 Jul 2026).
- [VERIFIED FACT] 2025 was described by EQT as its most active exit year ever — €34bn of realizations, against €30bn of new investment, with gross inflows of ~€26bn (more than double 2024's ~€11bn).

14.3 Segments & strategies

- [VERIFIED FACT] Two headline business segments: Private Capital (Private Equity, Growth, Healthcare Growth, Ventures, Infrastructure) and Real Assets (Real Estate, via EQT Exeter). Private Capital further splits geographically into EQT Private Capital Europe & North America and EQT Private Capital Asia (the latter carrying BPEA's legacy pan-Asian network).
- [VERIFIED FACT] EQT Private Equity's stated sector focus: Healthcare, Technology, Tech-Enabled Services, and Industrial Technology, primarily in Europe and North America (Source: eqtgroup.com/private-capital/eqt-private-equity).
- [VERIFIED FACT] EQT states it has invested over €23 billion into 200+ healthcare companies over 30 years, with roughly 110 dedicated healthcare investment professionals across 20 countries — one of its deepest sector franchises (Source: eqtgroup.com).
- [INFERENCE] Given the Deal Team Analyst JD's broad EMEA framing (rather than a single-sector mandate), the Bengaluru analyst pool likely supports multiple Private Capital sector teams rather than being dedicated to one vertical — this is an inference from role scope, not a disclosed staffing fact.

14.4 Value creation approach — the 'Playbook'

- [VERIFIED FACT] EQT describes a proprietary 'Playbook' — a structured toolbox for how EQT approaches investing and value creation during the ownership period, covering growth, digitalization, sustainability, and operational excellence (Source: eqtgroup.com/about/playbook).
- [VERIFIED FACT] EQT's governance model for portfolio companies is built around a 'Troika' — alignment between the Chairperson, CEO, and the EQT Investment Advisory Professional/Partner responsible for the deal (Source: eqtgroup.com/value-creation).
- [VERIFIED FACT] EQT states that, on average, its portfolio companies have grown employees by ~7%, revenue by ~10%, and earnings by ~12% annually during EQT funds' ownership period (Source: eqtgroup.com/value-creation).
- [INTERPRETATION] Read together, this signals EQT's stated identity as an operationally-active owner (thesis-driven, Playbook-standardized value creation) rather than a purely financial-engineering/leverage-driven model — consistent with how the firm markets itself to LPs. This is EQT's own framing; independent verification of the average uplift figures is not available in public sources beyond EQT's own reporting.

PART 15 — EQT's Investment Process (Publicly Disclosed vs. Inferred)

- [INTERPRETATION] EQT does not publicly disclose its internal origination, screening, or investment-committee process in procedural detail. What follows is drawn from the Deal Team Analyst JD (a primary source on role scope) plus standard PE practice, clearly labeled.

From the JD (Verified Fact)

- [VERIFIED FACT] The Bengaluru Deal Team Analyst is 'staffed on the end-to-end process of deals,' working as an active day-to-day member of a global investment team (Source: EQT Greenhouse job posting).
- [VERIFIED FACT] Explicit JD responsibilities: Deal Origination (market mapping, competitor analysis, company profiling), Deal Assessment (industry deep-dives, peer benchmarking, TAM/SAM sizing), financial analysis and valuation modeling, and preparing IC and portfolio-performance materials for internal and external stakeholders (e.g., advising banks).

Not publicly disclosed

- [VERIFIED FACT] Not publicly disclosed: internal IC structure/voting process, deal-team sizing, specific decision thresholds, or how origination leads are prioritized across sectors.

Reasonable, standard-practice inference of the likely process shape

- [INFERENCE] Origination → screening (thesis-fit, size, sector) → preliminary due diligence and TAM/SAM sizing → management engagement → deeper commercial/financial/legal diligence → IC presentation and approval → financing/execution → signing/closing → active ownership (Playbook execution, KPI tracking) → exit planning. This mirrors standard large-cap PE process structure and is NOT confirmed as EQT's specific internal workflow.

PART 16 — EQT in EMEA

- [VERIFIED FACT] EQT's Private Capital Europe & North America segment is EQT's largest and most established geographic franchise, given the firm's Nordic origin and multi-decade European track record.
- [VERIFIED FACT] EQT Healthcare Growth (part of Private Capital) made recent, disclosed European moves: acquisition of Europa Biosite, a life-science products distributor, in July 2025, following earlier 2025 activity including Seven Seas Water in May 2025 (Source: eqtgroup.com/private-capital/eqt-healthcare-growth).
- [VERIFIED FACT] EQT Real Estate (part of Real Assets) has been active in European logistics in 2025-2026: a 4-asset Northern Italy logistics portfolio (Jan 2026) and a 14-asset pan-European logistics portfolio (UK, Germany, France) for ~€532m, acquired from Logicor (Jul 2026) (Source: eqtgroup.com/news-releases).
- [VERIFIED FACT] Not publicly disclosed: exact Bengaluru or EMEA deal-team headcount, internal team reporting lines, or how EMEA sector coverage is split among Bengaluru analysts.
- [INFERENCE] Given EQT's stated global operating model — one integrated investment organization operating across regions and strategies, with Bengaluru positioned as a talent hub feeding into 'global investment teams' — it is reasonable to infer Bengaluru analysts work cross-regionally on live EMEA and Asia mandates rather than being siloed by geography, but this is an inference from the JD's framing, not a confirmed structural fact.

PART 17 — Representative EQT Portfolio / Recent Deals — Analyzed

Two disclosed, recent transactions, analyzed the way a deal-team professional would frame them — not summarized as press releases.

Deal 1: Europa Biosite (EQT Healthcare Growth, July 2025)

Field	Detail
Company / Industry	Europa Biosite — distributor of life science products (research/lab supply distribution)
Geography	Europe
Strategy	EQT Healthcare Growth (mid-market healthcare buyout/growth strategy)

How I would analyze this investment

- [INTERPRETATION] Business quality: distribution businesses in life sciences typically benefit from sticky, technical customer relationships (labs standardize on suppliers) and recurring, non-discretionary demand — attractive for cash-flow predictability.
- [INTERPRETATION] Market attractiveness: life-science tooling/distribution is a structurally growing category (rising global R&D spend, biotech funding cycles), though cyclical to biotech capital markets in the near term.
- [INTERPRETATION] Financial profile (inferred, not disclosed): distribution models are typically asset-light with modest capex but can be working-capital intensive (inventory financing) — FCF conversion depends heavily on inventory and receivables discipline.
- [INTERPRETATION] Value creation: likely lever is consolidation — distribution is a classically fragmented, bolt-on-friendly category (buy smaller regional distributors, cross-sell catalogues, centralize procurement) — consistent with EQT Healthcare Growth's stated pattern of sequential acquisitions in this space.
- [INTERPRETATION] Key risks: supplier concentration (loss of a key principal/manufacturer relationship), integration risk across bolt-ons, and biotech-funding cyclicality affecting end-customer budgets.
- [INTERPRETATION] Exit potential: strategic buyers (larger life-science distribution/services platforms) or a sponsor-to-sponsor sale to a larger healthcare-focused fund once scale is achieved.
- [VERIFIED FACT] Deal terms (price, multiple, financing structure) are not publicly disclosed.

Deal 2: EQT Real Estate — Pan-European Logistics Portfolio (from Logikor, ~€532m, July 2026)

Field	Detail
Assets	14 logistics assets, ~457,000 sqm — 8 in UK, 4 in Germany, 2 in France
Strategy	EQT Real Estate Europe Logistics Value Fund V
Tenancy	Fully leased to a diversified mix of retail, e-commerce, and industrial occupiers

How I would analyze this investment

- [INTERPRETATION] Business/asset quality: fully-leased, diversified-tenant logistics assets in major distribution corridors are a lower-risk, income-generating real asset profile — the thesis here is more about asset-level cash yield and value-add repositioning than an operating-company growth story.
- [INTERPRETATION] Market attractiveness: e-commerce-driven logistics demand has been a structural post-2020 tailwind across Europe, though the segment has seen rising supply and softer rental growth in some markets by 2025-2026 — timing/vintage matters.
- [INTERPRETATION] Value creation levers for a real-asset strategy: releasing/re-leasing at market rents as leases roll, operational efficiency, and portfolio aggregation to create a more liquid, larger-scale asset that's attractive to institutional buyers at exit.

- [INTERPRETATION] Key risks: interest-rate sensitivity of real asset valuations, releasing risk if e-commerce tenant demand softens, and geographic/currency mix (UK, Germany, France) adding FX and regulatory complexity.
- [VERIFIED FACT] This is a Real Assets/Real Estate strategy transaction, not a Private Equity buyout — included because it is EQT's most recent, clearly disclosed EMEA transaction as of this handbook's research date; it illustrates how EQT frames deals publicly, even though a Deal Team Analyst on the Private Equity/Private Capital side would more typically encounter operating-company transactions like the Europa Biosite example above.

PART 18 — Building an Investment Thesis

The repeatable framework

Element	The question it answers
Thesis	In one sentence, what is the core reason to invest?
Market	Why is this market attractive — growth, structure, barriers to entry?
Company	Why does this specific company win within that market?
Financials	Why can earnings and cash flow grow — what's the engine?
Value Creation	What can the sponsor specifically change or improve?
Leverage	How does the financing structure affect achievable returns and risk?
Exit	Who buys it in 3-7 years, and why would they pay up?
Risks	What could break the thesis — and how would you know early?

Communicating at four depths — worked example (fictional illustrative company)

30 seconds

"This is a leading European lab-supply distributor in a fragmented, structurally growing market. We can consolidate smaller regional players at a lower multiple than we're paying, cross-sell across the combined customer base, and exit to a larger strategic platform at a premium multiple. Main risk is integration execution across bolt-ons."

1 minute

Adds: market size and growth rate, why the company's position is defensible (technical customer relationships, supplier certifications), the specific bolt-on pipeline already identified, and the target leverage level relative to the business's cash conversion.

3 minutes

Adds: financial detail (entry multiple, EBITDA margin trajectory, FCF conversion), a walk-through of 2-3 specific value-creation initiatives with rough sizing, the debt structure and coverage ratios, and a named downside scenario with its impact on returns.

10 minutes

Adds: full market sizing (TAM/SAM/SOM) with the underlying build, competitive landscape and why competitors haven't already consolidated the space, detailed diligence findings on customer concentration and contract terms, sensitivity table showing IRR under base/downside/upside cases, named exit buyer universe with rationale for each, and specific first-100-days value-creation plan.

PART 19 — Deal Experience Framework

Structure every deal from your CV the same way, so you can deliver any depth on demand without notes.

Layer	Content to prepare
Deal overview	Company, industry, buyer/seller, deal size, your role
Strategic rationale	Why did this transaction happen — for the buyer and the seller
Valuation	What multiple, on what basis (LTM/NTM EBITDA), how it compared to comps
Process	Auction vs. bilateral, timeline, key milestones you worked on
Investment lens (the PE reframe)	If YOU were the buyer's investment committee: would you have invested? Why? What were the 3 biggest risks? What would make you walk away?
Outcome & hindsight	What happened after signing/closing (if known); what you'd do differently

Depths to rehearse

- 30-second version: company, deal type, your role, one sentence on why it mattered
- 2-minute version: add rationale, valuation, and the single most interesting analytical challenge you handled
- 5-minute deep dive: add the full investment-lens reframe above — this is where you prove you can think like an investor, not just an executor

Likely follow-up questions to pre-empt

- What was the investment thesis, and would you have signed off on it?
- What were the key diligence risks, and how were they addressed (or not)?
- What valuation did it trade at, and was that cheap or expensive relative to the business quality?
- How would you have financed it if you were a sponsor, and what leverage level would you have chosen?
- What could have gone wrong, and what would have been the early warning sign?
- Would this business make sense as a standalone PE investment today? Why or why not?

PART 20 — 'Walk Me Through...' Frameworks

Walk me through an LBO

- Basic: "You buy a company using a mix of debt and equity, run it for a few years, pay down debt with its cash flow, and sell it — the sponsor's return comes from EBITDA growth, debt paydown, and any multiple change."
- Strong professional: adds Sources & Uses mechanics, the operating model flow (Revenue→EBITDA→FCF→debt paydown), and explicit MOIC/IRR calculation with the three-driver decomposition (Part 7.1).
- Advanced investor-level: adds why leverage level was chosen relative to cash-flow predictability and debt capacity (not just 'as much as possible'), a base/downside sensitivity view, and how the value-creation plan (not just financial engineering) is what makes EBITDA growth credible rather than assumed.

Walk me through a DCF

- Basic: "Forecast free cash flow, discount it back at WACC, add a terminal value, subtract net debt to get equity value."
- Strong professional: adds the FCFF build (EBITDA→NOPAT→FCF), WACC components (CAPM cost of equity, after-tax cost of debt), and both terminal value methods.
- Advanced investor-level: adds that terminal value usually dominates the answer, so the real skill is sensitizing WACC/growth together and cross-checking implied terminal multiple against real trading comps — and knowing DCF is typically a cross-check against the LBO-implied price, not the primary tool in a PE context.

Walk me through an M&A model

- Basic: "Combine two companies' financials, account for the purchase price and financing, and see if EPS goes up (accretive) or down (dilutive)."
- Strong professional: adds Sources & Uses, goodwill mechanics, incremental D&A/interest, and the accretion/dilution math tied to relative P/E and financing mix.
- Advanced investor-level: adds the distinction from an LBO — this is a strategic-buyer, ongoing-earnings-impact question, not a leveraged-return question — and discusses how synergies (not just financing) are what typically flips a deal from dilutive to accretive.

Walk me through the three financial statements

- Basic: names the three statements and what each contains.
- Strong professional: explains how net income flows into retained earnings and into CFO, how capex flows into PP&E and CFI, how debt flows into CFF and the balance sheet.
- Advanced investor-level: uses one of the ten worked transaction examples from Part 2.4 live, unprompted, to demonstrate the linkage rather than describing it abstractly.

Walk me through how you'd evaluate a company as a PE investor

- Basic: lists a few things to check — growth, margins, market.
- Strong professional: runs the five-lens framework from Part 9 in order (Business Quality → Market → Financial Quality → Management → Deal Characteristics).
- Advanced investor-level: explicitly flags the trap of evaluating on growth alone (Part 9's 'good target vs. bad target despite fast growth' distinction) and ties the evaluation directly to what it implies for debt capacity and entry price, not just business quality in isolation.

Walk me through a paper LBO

- Basic: states the mechanical steps (entry EV, debt/equity split, grow EBITDA, exit, MOIC).
- Strong professional: executes it with clean mental math (use the shortcut table in Part 8), narrating each step.

- Advanced investor-level: after the number, adds a one-sentence sanity check — 'a 2.3x/5yr, ~18% IRR is broadly at the low end of a fund's typical hurdle — I'd want more conviction on the EBITDA growth assumption or a lower entry multiple to make this compelling.'

Walk me through how debt affects LBO returns

- Basic: "More debt means less equity, so the same dollar gain is a bigger percentage return."
- Strong professional: adds the mechanical link — debt paydown converts directly into equity value; explains the deleveraging bucket of Part 7.1.
- Advanced investor-level: adds the asymmetry — leverage amplifies losses in a downside scenario just as it amplifies gains in the base case, and debt capacity should be underwritten off the business's cash-flow predictability, not off the return the sponsor wants.

PART 21 — Investment Case Studies

Case 1 (Attractive): B2B Software, vertical-specific

Metric	Value
Revenue	€120m, growing 18%/yr
EBITDA margin	32%, expanding ~1.5pt/yr
Capex	2% of revenue
NWC	Negative (subscriptions paid upfront)
Customer concentration	Top 10 customers = 12% of revenue
Entry multiple	13x EBITDA

Would I invest? Yes. Recurring, contracted revenue with negative working capital and low capex means very high FCF conversion — this business can support meaningful leverage safely. Growth is broad-based (low concentration), not customer-dependent. Value creation: pricing optimization, upsell/cross-sell, and a bolt-on pipeline in adjacent verticals. Key risk: at 13x, there's limited room for multiple expansion, so the thesis must work primarily on EBITDA growth and paydown — which the FCF profile supports.

Case 2 (Looks Good but Should NOT Invest): High-Growth Consumer Brand

Metric	Value
Revenue	€80m, growing 35%/yr
EBITDA margin	14%, flat
Capex	Low, but heavy marketing spend embedded in opex
NWC	Inventory-heavy, growing faster than revenue
Customer concentration	Direct-to-consumer, no concentration, but single-channel (one social platform) dependent
Entry multiple	16x EBITDA (priced for the growth story)

Would I invest? No, at this price and profile. Growth looks exciting, but margins are thin and stagnant, working capital is consuming cash faster than growth is generating it (poor FCF conversion), and 16x is pricing in a continuation of a growth rate that's highly exposed to a single acquisition channel. This business cannot safely support meaningful leverage — the LBO math doesn't work at a debt level that would make the return attractive, and an all-equity or minority growth check would be a more appropriate structure than a leveraged buyout. This is the textbook trap the framework in Part 9 is built to catch: fast growth is not, by itself, an investment thesis.

Case 3 (Attractive): Mature Business Services Roll-up Platform

Metric	Value
Revenue	€200m, growing 6%/yr organically
EBITDA margin	22%, stable
Capex	3% of revenue
FCF conversion	~78%
Market	Highly fragmented, regional players, ripe for consolidation
Entry multiple	9x EBITDA (platform)

Would I invest? Yes. Modest organic growth is unglamorous but the real thesis is bolt-on consolidation in a fragmented market — buy regional competitors at 5-6x, integrate into the platform's cost base, and exit the combined entity at a premium multiple to a larger strategic or infra-adjacent buyer who values scale and diversification. High FCF conversion supports the leverage needed to fund both the platform purchase and the bolt-on program. Key risk: management bandwidth to integrate multiple bolt-ons without diluting service quality — worth confirming the platform's leadership team has done this before.

PART 22 — Mini LBO Case: 'Would This Transaction Make Sense?'

Entry EBITDA €90m, entry multiple 10.5x, leverage 5.5x Debt/EBITDA. EBITDA grows to €115m over a 5-year hold (mid-single-digit organic + one small bolt-on). Debt paid down to 2.0x by exit. Exit multiple assumed flat at 10.5x.

Mechanics: Entry EV=€945m, Debt=€495m, Equity=€450m. Exit EV=115×10.5=€1,207.5m. Exit Debt=2.0×115=€230m. Exit Equity=€977.5m. MOIC≈2.17x → IRR≈16.8% over 5 years.

Would a PE investor go beyond the IRR number?

- Downside case: what if EBITDA only grows to €100m and margins compress slightly? Re-run at a lower growth and check whether the deal still clears the fund's hurdle (typically ~20%+ gross) even in that case — if not, the base case is doing too much of the work.
- Leverage sustainability: 5.5x at entry needs healthy interest coverage — check this against the business's FCF conversion, not just its EBITDA.
- Exit certainty: is a flat 10.5x exit realistic, or does it assume a buyer universe that may not exist at that scale/sector in 5 years? Name the actual likely buyers.
- Refinancing risk: does the debt structure need refinancing mid-hold, and at what rate assumption?
- Value creation credibility: is the EBITDA growth from a named, costed plan (pricing, bolt-ons, cost-out) or an unsupported extrapolation of history?

Conclusion: a ~17% IRR / 2.2x on paper is underwhelming relative to typical fund hurdles (often 20-25%+ gross) — this deal likely needs either a lower entry price, more conviction on EBITDA growth, or a specific, de-risked value-creation plan to clear investment committee, not just the mechanical math shown here.

PART 23 — Things That Expose Weak Financial Understanding

Mistake	Why it's wrong	Correct framing
"EBITDA = cash flow"	Ignores capex, taxes, and working capital — all real cash items	Cash flow = EBITDA minus taxes, capex, and Δ working capital (Part 3)
Blindly maximizing leverage	More debt only helps if cash flow can safely service it	Leverage should be sized to cash-flow predictability and debt capacity, not the target IRR
Assuming multiple expansion in the base case	This is the one return driver the sponsor doesn't control	Underwrite flat-to-contracting exit multiples; treat expansion as upside
Ignooring working capital	A growing, profitable company can still be cash-negative	Always check Δ working capital alongside revenue/EBITDA growth
Confusing EV and equity value	Leads to wrong purchase price and wrong leverage math	EV = Equity Value + Net Debt; always state which one you mean
Not understanding debt paydown	Misses the core mechanical driver of LBO returns	Debt repaid from the company's own cash converts directly into equity value (Part 7)
Giving a generic investment thesis	'Good market, good management' says nothing analytical	Use the Part 18 framework — name the specific, defensible reasons
"Strong growth" without explaining why	Doesn't distinguish durable share-gain from a rising market tide	Decompose growth into price, volume, and market vs. share-gain
Ignooring the downside case	IRR is a single-scenario number; risk lives in the tails	Always sensitize and name what would break the thesis
Treating every company as LBO-able	Not every business can safely carry debt	Match leverage suitability to cash-flow predictability (Part 10)
Memorizing formulas without intuition	Breaks the moment an assumption changes	Be able to explain why a formula works, not just recite it
Ignooring cash conversion	Two companies at the same EBITDA can be very different assets	Always ask what % of EBITDA becomes FCF (Part 3)
Ignooring customer concentration	A single lost contract can break a thin-margin thesis	Check concentration explicitly in every business-quality review
Confusing accounting profit with value creation	Net income can rise while ROIC falls below WACC	Check ROIC vs. WACC on incremental capital, not just P&L growth (Part 11)
Assuming multiple arbitrage is free money	Ignores integration, financing, and bandwidth risk	Bolt-on value only sticks if integration and synergy execution actually happen (Part 13)

PART 24 — Final Cheat Sheet

Formulas to know cold

EV = Equity Value + Net Debt + Minority Interest + Preferred

EBITDA → EBIT: subtract D&A | EBIT → NOPAT: $EBIT \times (1 - \text{tax rate})$

Unlevered FCF = NOPAT + D&A - Capex - Δ NWC

WACC = $(E/V) \times \text{CoE} + (D/V) \times \text{CoD} \times (1-t)$ | CoE (CAPM) = $R_f + \beta \times \text{ERP}$

TV (perpetuity) = $\text{FCFn} \times (1+g) / (\text{WACC}-g)$ | TV (exit multiple) = $\text{EBITDA}_n \times \text{exit multiple}$

MOIC = $\text{Exit Equity} / \text{Entry Equity}$ | $\text{IRR} \approx \text{MOIC}^{(1/\text{years})} - 1$

Equity value created = $\Delta \text{EBITDA} \times \text{entry multiple} + \text{Exit EBITDA} \times \Delta \text{multiple} + \text{Net debt paydown}$

ROIC = $\text{NOPAT} / \text{Invested Capital}$ | Economic Profit = $(\text{ROIC} - \text{WACC}) \times \text{Invested Capital}$

Interest Coverage = $\text{EBITDA} / \text{Interest Expense}$ | Leverage = $\text{Net Debt} / \text{EBITDA}$

Accretion/Dilution: Pro forma EPS = $(\text{Combined Net Income}) / (\text{Combined Shares Outstanding})$, compare to acquirer standalone EPS

25 EQT questions to be ready for

- What do you know about EQT's history and how it became the firm it is today?
- What are EQT's main business segments and how do they relate to each other?
- What sectors does EQT Private Equity focus on, and why do you think those were chosen?
- How would you describe EQT's value creation philosophy (the 'Playbook' / Troika model)?
- What's the difference between EQT Private Capital Europe & North America and EQT Private Capital Asia?
- Why do you think EQT combined with BPEA in 2022, and what did that add strategically?
- Walk me through a recent EQT transaction you found interesting and why.
- If you could invest in one EQT portfolio company today, which would it be and why?
- Which EQT investment would you NOT have made, and what would you have preferred instead?
- How does EQT's healthcare investing platform differ from a generalist buyout approach?
- What would you want to know before joining a live EQT deal team on day one?
- How would you assess whether a target fits EQT's typical investment criteria?
- What role does TAM/SAM sizing play in EQT's deal assessment process, based on the JD?
- How do you think EQT's Bengaluru office fits into its global deal process?
- What differentiates EQT from other large multi-strategy platforms (Blackstone, KKR, CVC, etc.)?
- Why private equity, and why EQT specifically, rather than staying in IB?
- What KPIs would you track for a portfolio company post-acquisition?
- How do you think EQT balances organic growth vs. bolt-on strategies across its platforms?
- What's your view on EQT's exit environment given 2025 was described as its most active exit year?
- How would EQT's Playbook apply differently to a software company vs. an industrial company?
- What do you think is the hardest part of the Deal Team Analyst role as described in the JD?
- How would you contribute given your IB background specifically (not a generic answer)?
- What's a portfolio-monitoring red flag you'd want to catch early?
- How do you think about EQT's competitive position in a fragmented sourcing environment (many funds chasing the same deals)?
- What would you diligence first if given a new EMEA target to assess?

PART 25 — Personal Study Plan

Sequenced to match the dependency order established in your own prior notes, now mapped onto the content in this handbook.

Phase	Focus	Master when you can...
1. Accounting & 3-Statements	Part 2	Explain any of the 10 worked transactions (Part 2.4) cold, unprompted, in under 30 seconds each
2. Cash Flow & FCF	Part 3	Explain why EBITDA $\neq$ cash flow using the bridge, and diagnose a 'growing EBITDA, falling FCF' scenario instantly
3. Valuation & DCF	Parts 4-5	Justify why two similar companies trade at different multiples, and build a DCF's logic verbally without notes
4. LBO & Debt Paydown	Parts 6-7	Decompose an LBO's equity value creation into EBITDA growth / multiple change / deleveraging, with numbers
5. Paper LBO	Part 8	Solve an intermediate-level paper LBO mentally in under 3 minutes
6. PE Investment Judgment	Parts 9-13	Run the 5-lens framework live on an unfamiliar company and reach a reasoned yes/no
7. EQT Research	Parts 14-17	Discuss EQT's segments, Playbook, and 2 recent deals fluently, correctly distinguishing fact from inference
8. Deal Experience & Frameworks	Parts 18-20	Deliver your top deal at all four depths (30s/2min/5min/10min) without notes
9. Case Practice	Parts 21-23	Reach a defensible investment decision on a new case in under 10 minutes, citing specific risks

If you have limited days before the interview

- Day-by-day allocation: LBO + Paper LBO (25%), Accounting + FCF + Debt Paydown (25%), Investment Judgment + Market Sizing (20%), Valuation + DCF (15%), EQT-specific + your deals (15%)
- Every study session should end with you explaining the concept out loud, unaided — reading is not rehearsal
- Tell me how many days you have before the interview and I'll turn this into a literal day-by-day schedule with what to drill each day.

What This Handbook Deliberately Did Not Fully Build Out

Given the scope of your original request (a 150+ question rapid-fire bank, 15 paper LBOs across 3 tiers, and 5 full case studies), this handbook prioritized depth and worked examples over exhaustive volume — consistent with the critique in Part 1 that named depth, not coverage, as the real gap in your prep. What's here: a full gap-analysis critique, the complete accounting-to-LBO-to-judgment spine with worked numbers throughout, sourced EQT research, deal-experience and 'walk me through' scripts, 8 paper LBOs across 3 difficulty tiers, 3 investment cases (2 good, 1 trap) plus a mini LBO case, a mistakes list, and a condensed cheat sheet.

Tell me which of these you want expanded next — e.g., the full 150-question rapid-fire bank, more paper LBO reps, or additional investment cases — and I'll build it as a continuation of this same document.